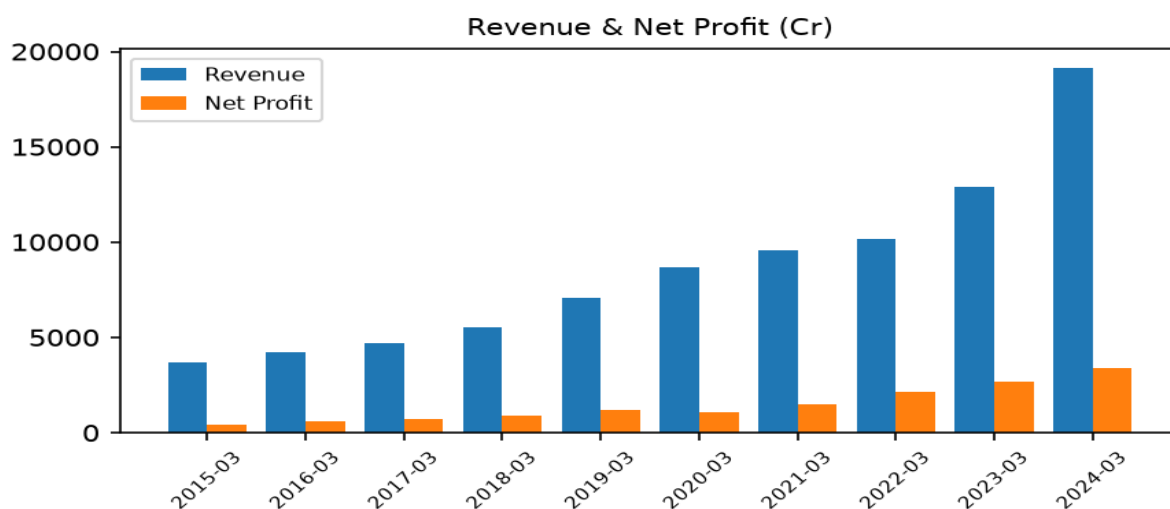


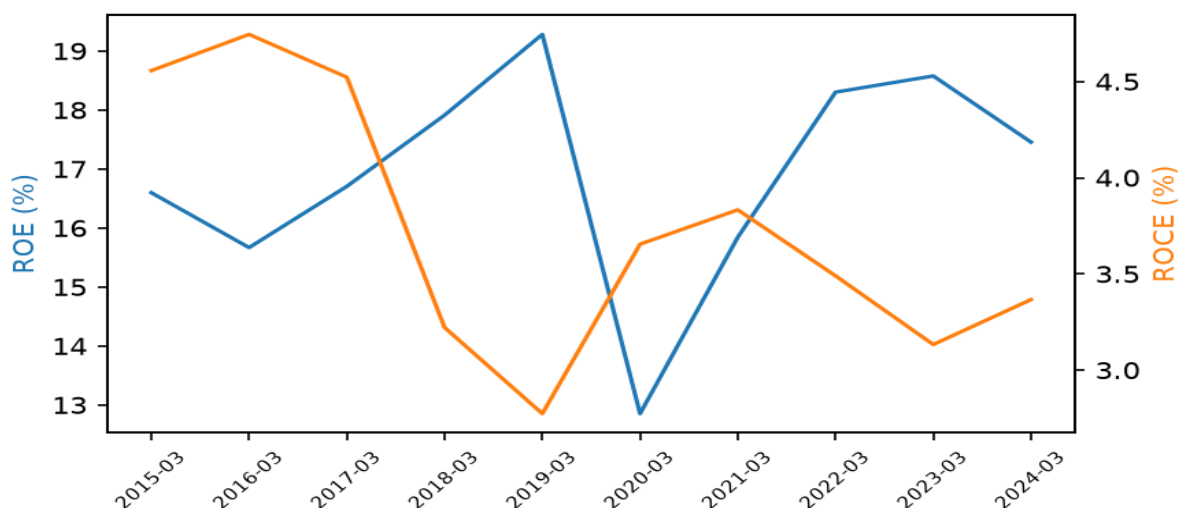
Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

ROE 17.5%	ROCE 3.4%	Net Profit Margin 17.8%
D/E 6.9	Revenue CAGR 5yr 21.9%	Free Cash Flow (Cr) -38538.0

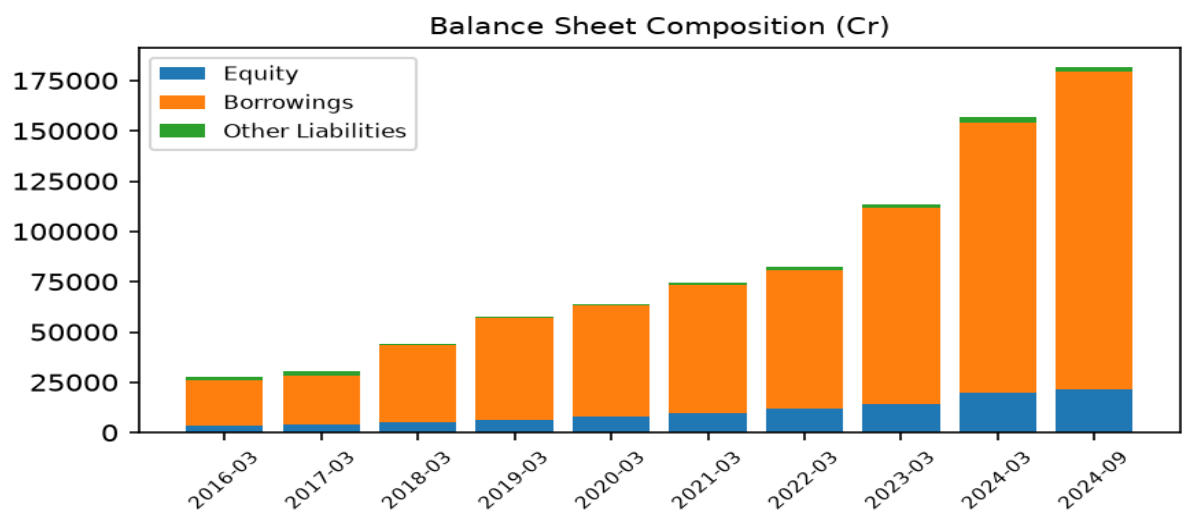
Revenue & Net Profit (10yr)



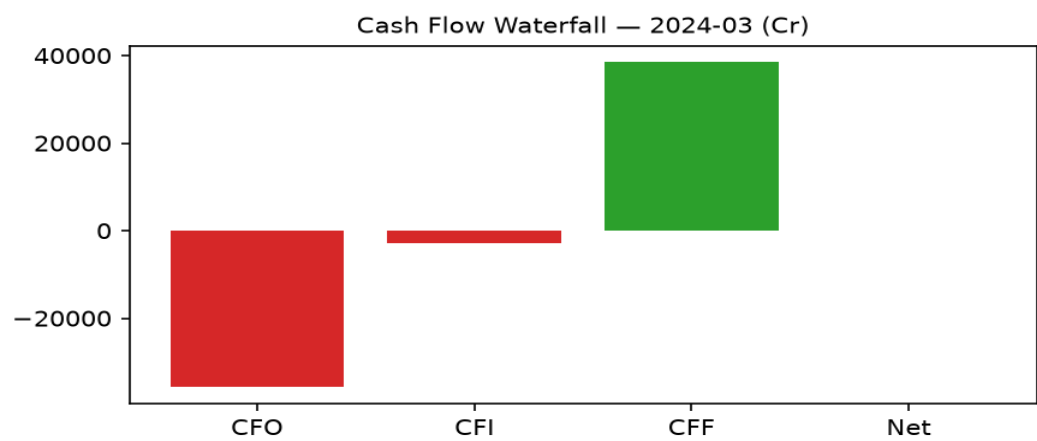
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Debt-to-equity of 6.86 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Growth Funded by Debt